



Metrics & Early Traction Workshop

AI4ALL Women Entrepreneur Program

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Agenda

1. Your idea
2. Traction 101
3. How to track your progress
4. In-depth customer traction
5. Next steps

Your idea



Your idea

1. Your name
2. Your product's value prop
3. Your MVP

Traction 101



Traction



Traction

Traction refers to the measurable progress your startup makes.

Measuring traction is **essential** to objectively assess your progress and make strategic decisions.





Traction examples

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We've built a prototype of our product, recruited an engineer from the leading company in our industry, and tested with 1,000 active users.



Key metrics

Monthly Recurring Revenue (MRR)

Daily Active Users (DAU)

Conversion Rate | Churn Rate | Retention Rate | Engagement Rate

Customer Acquisition Cost (CAC) | Lifetime Value (LTV)

Net Promoter Score (NPS)

How to track your progress



How to track your progress

1. Establish Clear Goals and Objectives
2. Regularly Monitor and Analyze Metrics
3. Benchmark Against Industry Standards
4. Use Data Visualization Tools



Common pitfalls to avoid

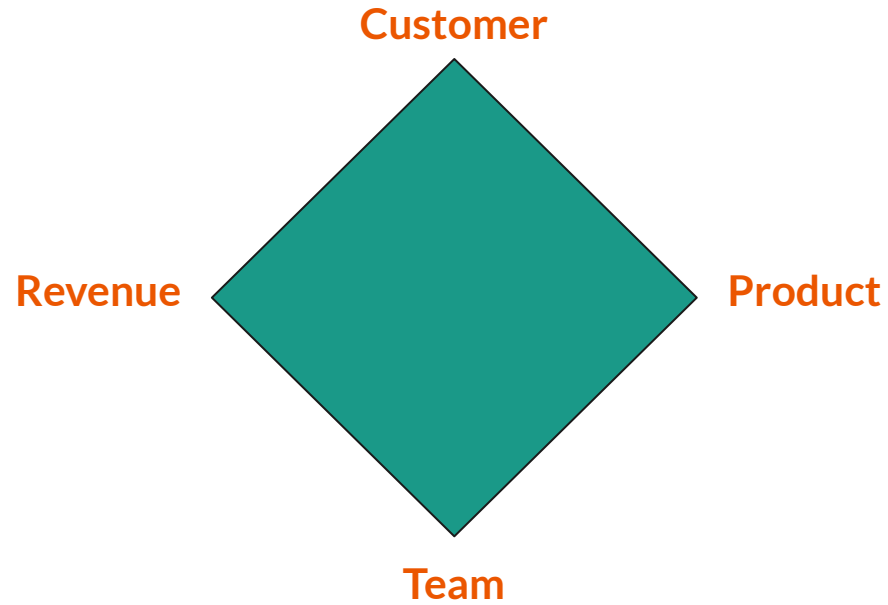
- Too many metrics
- Vanity metrics over value metrics
- Neglecting customer journey
- Overlooking customer feedback
- Lack of alignment with business goals



Your best friend Excel



Key areas





Customer traction

Multiple customer stages

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750 people (30%) have signed up for our “Pizza Your Face” weekly Newsletter to get updates on how to create delicious pizza at home. This shows a high intent to engage our message and product on a weekly basis.



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100 people (2.5%) have begun our home trial for getting our pizza ingredients shipped directly to them. This indicates a strong interest in actually using our product first hand.



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How much will they pay? *Price point*

How much will they be worth? *Lifetime Value / Churn Rate*



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People like our product and will talk about it, which helps growth and Customer Acquisition costs.



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On average our customer payments have recurred **3** times, giving us an average yield of **€76**. Not only will people pay, but they will also keep paying which demonstrates there is consistent value.

In-depth customer traction



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Churn and retention rate

(no. of lost customers at end of year ÷ no. of total customers at start of year) x 100

(remaining customers at end of year ÷ total customers at start of year) x 100



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Size-Based Cohorts

*grouping based on based on the customer
size, such as startups, small businesses, and
enterprise-level organizations*

Next steps



Next steps

1. Download the dashboard example [here](#) and use it as an inspiration for your Traction dashboard (Excel sheets with data + basic visualisations)
2. Identify metrics to track customer traction, add them to your Traction dashboard
3. Identify split for cohort analysis, split your current customer traction data into cohorts, add them to a new sheet on your Traction dashboard.



Resources

1. *Measuring startup traction: Essential guidelines and must-have metrics - an article by Pitchdrive Academy*
2. *Measuring MVP Success with key performance indicators - an article by FasterCapital*
3. *18 types of MVP that won't break the bank - an article by Robot Mascot*
4. *Startup traction: How to talk about one when you have none - an article by Waveup*
5. *Startup traction - an article by Startups.com*
6. *Customer lifecycle touchpoints - an article by Userlane*
7. *What is customer activation and why does it matter - an article by Hotjar*
8. *7 customer activation metrics to boost your product's stickiness - an article by Hotjar*
9. *Cohort analysis: A startup's secret weapon - an article by Pitchdrive Academy*
10. *A KPI dashboard for early-stage SaaS startups - an article by Christoph Janz*
11. *How to build a startup - an Udacity course by Steve Blank and Kathleen Mullaney*
12. *Disciplined entrepreneurship, 2nd edition - a book by Bill Aulet*